Endogenizing Nature in Production Theory: A Framework of Economic Commensalism

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Abstract

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Keywords: economic commensalism; environmental economics; rational incentives; commons; carbon markets.

1. Introduction

The relationship between economic activity and the natural environment has long been a subject of scholarly and social inquiry, particularly with respect to the tension between the productive use of natural resources and ecological sustainability. Economic theory has long treated natural resources as exogeneous stocks, constraints, sources of land rent, externalities, or environmental costs. The problem addressed in this article is more specific: in conventional production theory, nature rarely appears as an endogenous, dynamic, and strategically managed factor capable of affecting future productivity, private incentives, and intertemporal welfare. Although land, capital, and labor are commonly treated as fundamental inputs of production, the ecological systems that sustain them are often

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modeled as external constraints, fixed stocks, or sources of externalities, rather than as dynamic components of the production process itself (JEHLE; RENY, 2011; STIGLITZ, 1989; DASGUPTA, 2001).

As a result, environmental degradation is often treated as an ex post consequence of production decisions, to be addressed through corrective mechanisms such as taxation (PIGOU, 2010), regulation, property-rights allocation (HARDIN, 1968), carbon pricing, or collective governance arrangements (OSTROM, 2002). Altough these mechanisms have shaped much of modern environmental policy, they often operate outside the agent's core production calculus. In practical terms, this separation is reflected in legal and institutional arrangements that impose preservation duties on private agents without fully integrating ecological preservation into their economic rationale. For example, an economic agent may be required to preserve part of a biome even when doing so reduces the amount of productive land available and, consequently, constrains the agent's production capacity, as occurs in Brazil, where legislation restricts land use to varying degrees according to the biome (BRASIL, 2012). This requirement creates an opportunity cost for agricultural production, since land that could otherwise be used productively must be preserved in the interest of protecting a collective good. The agent therefore faces a trade-off between production and preservation, often framed as a conflict between economic growth and environmental conservation, or a public benefit at the expense of individual private costs.

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This dichotomy can be understood through three recurring paradigms of human–environment interaction: predation, mutualism, and extractivism. Predation denotes the unsustainable and often illegal depletion of natural resources; mutualism refers here to a preservation-oriented ideal in which human use is strongly limited in favor of ecological integrity; and extractivism occupies an intermediate position, allowing resource use within supposedly sustainable or regenerative limits (GUDYNAS et al., 2009; ACOSTA, 2013). From an efficiency perspective, however, none of these paradigms fully resolves the production–preservation trade-off. Predation disregards ecological constraints and generates negative externalities, while strict mutualism may excessively restrict productive potential (DASGUPTA, 2001; OSTROM, 1990). Extractivism, in turn, may delay ecological collapse but remains vulnerable to regulatory failure: if too restrictive, it underuses productive resources; if too permissive, it reproduces the overuse problem it was meant to avoid (CHICHILNISKY, 2017). Therefore, natural resource allocation tends to deviate from Pareto efficiency whenever private incentives are not aligned with social and ecological costs, which motivates the search for institutional arrangements capable of reconciling

productive efficiency with environmental sustainability (HANLEY et al., 2007).

A further distinction is necessary. This article does not treat extraction and extractivism as interchangeable terms. Extraction refers to the use or removal of natural resources as part of productive activity. Extractivism, by contrast, denotes an institutional and productive regime in which resource use becomes structurally disconnected from ecological regeneration, future productivity, and the alignment between private and social payoffs. The analytical boundary between the two lies in the point at which resource use ceases to be a rational allocation problem and becomes an ecologically predatory trajectory, reflected in declining future productivity, ecological threshold violations, divergence between private and social returns, and intertemporal welfare losses.

This distinction has direct implications for the design of environmental policy. Existing instruments, including carbon markets, environmental certifications, legal restrictions, and coercive enforcement, may reduce environmental harm under certain conditions, but they often fail to alter the structural payoff that guides the choice between using, preserving, or degrading natural resources. In many cases, degradation becomes a payable cost, while preservation remains an external obligation. Carbon markets illustrate this limitation with particular clarity: when compensation is detached from the biome or territory affected by production, environmental preservation becomes a matter of minimizing compliance costs rather than maintaining local ecological resilience. Under this logic, carbon credits and fines may operate less as mechanisms of ecological integration than as prices paid for the right to continue degrading a specific environment.

The framework proposed in this article therefore assigns a central role to local ecological specificity. If each biome differs in resilience, regeneration capacity, biodiversity, hydrological function, and productive relevance, then environmental compensation cannot be treated as spatially homogeneous. A ton of carbon compensated elsewhere may satisfy an accounting requirement, but it does not necessarily restore the ecological function of the affected territory. For this reason, a commensalist framework requires benefits, penalties, compensation mechanisms, and verification systems to be spatially linked to the ecological unit in which production takes place. Localism is not merely an institutional preference; it is a condition for aligning private incentives with the ecological consequences of production.

Under specific institutional and technological conditions, such a framework may also mitigate or reverse a Jevons-type mechanism. Whereas conventional rebound effects arise when efficiency gains reduce the effective cost of resource use and thereby stimulate greater total use, a commensalist arrangement would make productivity gains conditional on ecological preservation. If access to credit, certification, market premiums, production

rights, or fiscal advantages depends on maintaining local ecological integrity, then higher efficiency need not translate into greater environmental pressure. Instead, it may increase the private return to preservation. This possibility is treated here not as a general law, but as a theoretical hypothesis requiring formal and empirical investigation.

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Against this background, the central **problem** addressed in this article is whether environmental preservation can be theoretically reframed not merely as a constraint on production, but as an endogenous component of economic decision-making. More specifically, the article asks whether private productivity and profitability can be reconciled with socially desirable environmental preservation through incentive-compatible arrangements capable of overcoming the limitations of the prevailing extractivist logic.

The **hypothesis** advanced here is that, when ecological variables are incorporated into production theory and when incentives are designed to reflect spatial, intertemporal, and behavioral constraints, environmental preservation may become compatible with individual rationality rather than dependent solely on coercion or moral commitment. In this sense, the article rests on four **premises**: first, the environment can be represented as an endogenous cofactor of production; second, many existing environmental instruments fail to alter the structural private payoff that drives degradation; third, preservation becomes stable only when it is compatible with individual rationality and strategic equilibrium; and fourth, such compatibility requires governance mechanisms that are locally anchored in ecological units, while remaining subject to broader systems of verification and institutional credibility.

The **objective** of the article is therefore to develop the conceptual foundations of *economic commensalism* as a framework for endogenizing nature in production theory and for reinterpreting preservation as a potentially rational, incentive-compatible, and productivity-enhancing economic strategy. Economic commensalism is not presented as a metaphorical preference for harmony between economy and nature, but as a theoretical attempt to identify the conditions under which preservation can become part of the rational structure of production itself.

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2. The Limits of Current Environmental Governance

—> Mecanismos atuais de governança ambiental (regulação, precificação, mercados de carbono, etc.) são insuficientes para lidar com a complexidade e a dinâmica dos sistemas socioecológicos.

—> Dados e evidências mostram que, apesar dos esforços, as tendências de degradação ambiental e perda de biodiversidade continuam, indicando falhas estruturais nos modelos de governança atuais.

—> Citar esforços internacionais (Acordo de Paris, Objetivos de Desenvolvimento Sustentável) e nacionais (políticas ambientais, leis de proteção) que não têm conseguido reverter as tendências negativas.

—> Usar dados de desmatamento, perda de biodiversidade, emissões de gases de efeito estufa, Brasil e mundo, para ilustrar a insuficiência dos mecanismos atuais.

–> Concluir que é necessário repensar os fundamentos teóricos e práticos da governança ambiental, buscando abordagens que integrem melhor a natureza como parte dos sistemas econômicos e sociais, e que sejam mais adaptativas, inclusivas e eficazes.

3. Literature Review: From Externalities to Incentives

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4. Model

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5. Results

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6. Discussion

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7. Final Remarks

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